

RBI Governor Shaktikanta Das called these instances outlier cases and played down concerns of a system-wide problem in his address to the media after the bi-monthly monetary policy meeting at the beginning of April. But players in the sector seem to have heard the message loud and clear: It's time to get the books in order.

## DEEP ROT

The problem with gold loans goes quite deep. In February, the Association of Gold Loan Companies asked the RBI to investigate certain bank branches for breaking the rules governing how much money can be given against gold ornaments.

In August 2020, the central bank allowed banks to give out more money against gold ornaments to help people facing financial difficulties tide over the immediate Covid-19 crisis. It raised the maximum loan-to-value (LTV) ratio—or the proportion of gold value that can be raised as a loan—from 75% of the value of the gold ornament to 90%, but only until March 31, 2021. But entities were found to have lent at the higher LTV even after that period.

With growing concerns about the handling of gold loans, even the finance ministry has had to step in. It recently told public sector banks to check their gold loan records and follow the rules set by regulators. “We’ve asked banks to conduct a comprehensive review of their gold loan operations,” Vivek Joshi, Secretary of the Department of Financial Services, said recently.

“Gold lending is more of an on-the-ground business where one of the key underwriting measures is testing purity and then arriving at the value of the gold. Practices around the quality of testing and, hence, the corresponding level of aggressive underwriting, given the competition in the market, are a key industry concern,” explains Sanjay Doshi, Advisory Head for Financial Services at consulting firm KPMG in India. “This is crucial as there could be overleveraging if the LTV ratio becomes high.”

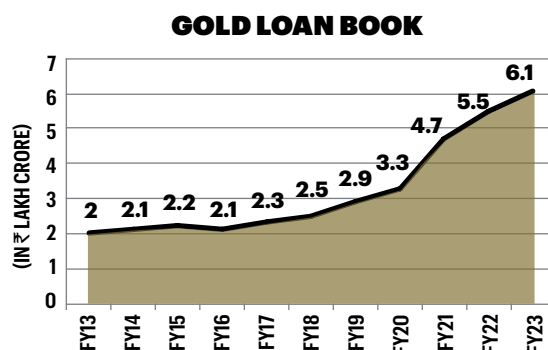
Another issue that has cropped up in the segment concerns the amount of cash that can be given out against the gold loan. *BT* came across many cases where gold loans were offered in cash above the limit of ₹20,000 set by the RBI. It appears that some firms made use of a regulatory arbitrage between the rules of the RBI and the income tax department.

## ACTION AND REACTION

- 1 **The gold loans market has witnessed significant growth, with compound annual growth rate of 22.7% in the three years to FY23**
- 2 **The gold loans outstanding of banks and NBFCs was ₹6.1 lakh crore as of FY23, per a Nirmal Bang report**
- 3 **The average gross NPAs of gold loans for the top four NBFCs rose from 1.8% in FY21 to 2.9% in FY22 and 2.15% in FY23**
- 4 **But other issues have cropped up too, as was the case with IIFL Finance, which was barred by RBI from disbursing loans due to serious deviations in assessment and auction procedures**
- 5 **With gold prices touching record highs, the demand for gold loans is expected to rise. Thus, rules need to be tightened to protect small and underprivileged borrowers**

## SHINING BRIGHT

- The size of the gold loan market is ₹6 lakh crore
- It has grown at a CAGR of 11.79% in 10 years



**NOTE** INCLUDES AGRI GOLD LOANS  
**SOURCE** NIRMAL BANG REPORT